

D368

Enterprise Risk Management

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

A regional bank's board says it will accept moderate risk to grow small-business lending, but it will not accept losses above 2% of the loan portfolio in any single year. The bank has 40 branches and a new mobile app. What is the 2% figure?

- A. Risk tolerance
- B. Risk appetite
- C. Risk capacity
- D. Risk appetite, since every board risk statement is appetite

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

Which statement is a risk appetite statement?

- A. Cyber risk remaining after controls is rated medium.
- B. Our largest possible loss before insolvency is \$50 million.
- C. We will take moderate risk to enter new markets but have low appetite for compliance risk.
- D. Customer complaints must stay below 1% of transactions.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A hospital rates the risk of patient-data theft as high before any controls. After adding encryption, access logging and staff training, it rates the remaining risk as medium. The hospital has 450 beds and recently won a quality award. What is the medium rating?

- A. Inherent risk
- B. Control risk
- C. Residual risk
- D. Risk appetite

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

A firm's residual risk is still above its appetite after existing controls. What should it do?

- A.** Quietly raise the appetite to match the risk.
- B.** Add or strengthen responses (reduce, transfer or avoid) until it fits, or escalate for a formal decision.
- C.** Nothing; residual risk is acceptable by definition.
- D.** Re-rate the inherent risk lower.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A food manufacturer decides to stop selling a product line in a country where new labeling laws carry large penalties it cannot reliably meet. The line earned \$3 million last year and the plant is unionized. Which risk response is this?

- A.** Transfer
- B.** Accept
- C.** Reduce
- D.** Avoid

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A distribution center holds \$500,000 of equipment and faces flood risk. A flood would destroy about 30% of the equipment's value, and floods are expected once every five years. The site manager has 15 years of experience. What is the annualized loss expectancy?

- A.** \$30,000
- B.** \$100,000
- C.** \$150,000
- D.** \$750,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7. [TRANSFER — reversed stem / different variable]

A risk has a single loss expectancy of \$80,000 and an annualized loss expectancy of \$20,000. How often is the event expected?

- A.** \$60,000 per event
- B.** Once a year, since ALE is an annual figure
- C.** About once every 4 years
- D.** About 4 times a year

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

At an insurance company, the claims department designs and runs its own fraud controls, the risk management function sets policy and monitors, and internal audit gives independent assurance to the audit committee. The company has 8,000 employees and just rebranded. Who owns and manages the risk of fraudulent claims day to day?

- A.** Claims department management (first line)
- B.** The risk management function
- C.** Internal audit
- D.** The insurance regulator

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

Leadership wants a risk framework that ties risk directly to strategy-setting and performance, not just a list of controls. The CEO prefers short reports, and the firm is based in Ohio. Which framework fits best?

- A.** ISO/IEC 27001
- B.** Any framework, since they are interchangeable
- C.** COSO Internal Control—Integrated Framework
- D.** COSO Enterprise Risk Management: Integrating with Strategy and Performance

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A payroll company backs up its database every night at midnight. Its data center is in a new, LEED-certified building. If the system fails at 11 p.m., up to how much data could be lost, and which metric describes this?

- A. About 23 hours of data; recovery time objective
- B. None, because the building is new
- C. About 1 hour of data; recovery point objective
- D. About 23 hours of data; recovery point objective

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11. [TRANSFER — reversed stem / different variable]

A retailer's online store must be back up within 4 hours of an outage and can lose no more than 15 minutes of orders. Which pairing is correct?

- A. Both 4 hours, since RTO and RPO must always match
- B. RTO 4 hours; RPO 15 minutes
- C. RTO 4 hours; MTBF 15 minutes
- D. RTO 15 minutes; RPO 4 hours

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A warehouse worth \$1,000,000 is insured for \$600,000 under a policy with an 80% coinsurance clause and a \$5,000 deductible. A fire causes \$200,000 of damage. The owner has been a customer for 18 years. How much does the insurer pay?

- A. \$115,000
- B. \$145,000
- C. \$200,000, because the loss is under the policy limit
- D. \$195,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

A regional bank's board says it will accept moderate risk to grow small-business lending, but it will not accept losses above 2% of the loan portfolio in any single year. ~~The bank has 40 branches and a new mobile app.~~ What is the 2% figure?

Target word: classify the 2% limit **Decides:** A specific, measurable limit around an objective.

A	Correct	Tolerance sets measurable bounds.
B	Confusion set	Appetite is the broad 'moderate risk to grow' statement.
C	Adjacent category	Capacity is the most loss the bank could absorb before failing.
D	Absolute language	Boards set both appetite and tolerances.

2. Answer C Concept 1 • transfer

Which statement is a risk appetite statement?

Target word: pick the appetite statement **Decides:** Broad willingness, not a hard number.

A	Confusion set	A residual risk rating.
B	Adjacent category	That is risk capacity.
C	Correct	A broad, strategic statement.
D	Inverted operation	A specific tolerance.

3. Answer C Concept 2

A hospital rates the risk of patient-data theft as high before any controls. After adding encryption, access logging and staff training, it rates the remaining risk as medium. ~~The hospital has 450 beds and recently won a quality award.~~ What is the medium rating?

Target word: name the rating **Decides:** Rated after controls.

A	Inverted operation	Inherent is the 'high' rating before controls.
B	Confusion set	An audit term for the chance controls fail.
C	Correct	Risk remaining after controls.
D	Adjacent category	Appetite is what the hospital will accept, not a rating.

4. Answer B Concept 2 • transfer

A firm's residual risk is still above its appetite after existing controls. What should it do?

Target word: action when residual exceeds appetite **Decides:** Residual must be brought within appetite or escalated.

A	Adjacent category	Appetite is a board decision, not a fix for one risk.
B	Correct	Residual risk has to be brought within appetite.
C	Absolute language	Only residual risk within appetite is acceptable.
D	Inverted operation	Changes the label, not the exposure.

5. Answer D Concept 3

A food manufacturer decides to stop selling a product line in a country where new labeling laws carry large penalties it cannot reliably meet. ~~The line earned \$3 million last year and the plant is unionized.~~ Which risk response is this?

Target word: response type **Decides:** It exits the activity that creates the risk.

A	Confusion set	Transfer shifts loss to others, as with insurance.
B	Inverted operation	Accept keeps the activity and the risk.
C	Adjacent category	Reduce keeps the activity and adds controls.
D	Correct	Stopping the activity removes the risk.

6. Answer A Concept 4

A distribution center holds \$500,000 of equipment and faces flood risk. A flood would destroy about 30% of the equipment's value, and floods are expected once every five years. ~~The site manager has 15 years of experience.~~ What is the annualized loss expectancy?

Target word: ALE **Decides:** $SLE = \$150,000$; $ARO = 0.2$.

A	Correct	$\$150,000 \times 0.2$.
B	Wrong stem number	Uses full asset value instead of the 30% loss.
C	Dropped element	SLE; leaves out how often floods occur.
D	Inverted operation	Multiplies by 5 years instead of 1/5.

7. Answer C Concept 4 • transfer

A risk has a single loss expectancy of \$80,000 and an annualized loss expectancy of \$20,000. How often is the event expected?

Target word: solve for ARO **Decides:** $ARO = ALE \div SLE = 0.25$.

A	Adjacent category	A dollar gap, not a frequency.
B	Confusion set	ALE is annualized, not an event every year.
C	Correct	0.25 per year.
D	Inverted operation	$SLE \div ALE$.

8. Answer A Concept 5

At an insurance company, the claims department designs and runs its own fraud controls, the risk management function sets policy and monitors, and internal audit gives independent assurance to the audit committee. ~~The company has 8,000 employees and just rebranded.~~ Who owns and manages the risk of fraudulent claims day to day?

Target word: risk owner **Decides:** First-line management owns operational risk.

A	Correct	The business unit owns and manages its risks.
B	Adjacent category	Second line: oversight and policy.
C	Inverted operation	Third line: independent assurance, not ownership.
D	Confusion set	An external party, outside the three lines.

9. Answer D Concept 6

Leadership wants a risk framework that ties risk directly to strategy-setting and performance, not just a list of controls. ~~The CEO prefers short reports, and the firm is based in Ohio.~~ Which framework fits best?

Target word: framework **Decides:** Risk integrated with strategy and performance.

A	Adjacent category	An information security standard.
B	Absolute language	Frameworks differ in scope.
C	Confusion set	Focuses on internal control, not strategy.
D	Correct	Built to link risk to strategy and performance.

10. Answer D Concept 7

A payroll company backs up its database every night at midnight. ~~Its data center is in a new, LEED-certified building.~~ If the system fails at 11 p.m., up to how much data could be lost, and which metric describes this?

Target word: data loss and metric **Decides:** Last backup was at midnight, 23 hours earlier.

A	Confusion set	RTO is the time to restore service.
B	Camouflage	The building does not change backup timing.
C	Inverted operation	Counts forward to the next backup, not back to the last one.
D	Correct	RPO measures tolerable data loss in time.

11. Answer B Concept 7 · transfer

A retailer's online store must be back up within 4 hours of an outage and can lose no more than 15 minutes of orders. Which pairing is correct?

Target word: assign RTO and RPO **Decides:** Downtime vs. data loss.

A	Absolute language	They are set separately.
B	Correct	RTO is restore time; RPO is data-loss window.
C	Adjacent category	MTBF is mean time between failures.
D	Inverted operation	Swaps the two.

12. Answer B Concept 8

A warehouse worth \$1,000,000 is insured for \$600,000 under a policy with an 80% coinsurance clause and a \$5,000 deductible. A fire causes \$200,000 of damage. ~~The owner has been a customer for 18 years.~~ How much does the insurer pay?

Target word: payout **Decides:** Required = \$800,000; carried \$600,000 is 75% of that.

A	Wrong stem number	Uses full value (\$1,000,000) as the requirement instead of 80%.
B	Correct	$0.75 \times \$200,000 - \$5,000$.
C	Confusion set	Confuses the policy limit with coinsurance compliance.
D	Dropped element	Ignores the coinsurance penalty.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	2	
Wrong stem number	A figure copied from the prompt that is not the answer.	2	
Adjacent category	The right idea in the wrong bucket.	9	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	9	
Absolute language	Always, never, guarantee — where judgment applies.	4	
Confusion set	Every option is real; the test is exact role-matching.	9	
Camouflage	Answers a stem fact that was never the question.	1	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Risk appetite vs. risk tolerance	Appetite is the broad amount of risk the organization will accept in pursuit of its goals; tolerance is the specific, measurable limit on variation around an objective.	Calling a numeric limit the appetite.	A broad statement next to a hard number.
2	Inherent vs. residual risk	Inherent risk is before controls; residual risk is what remains after controls and must fit within appetite.	Labeling the after-control rating as inherent.	A rating before and after controls.
3	Risk responses	Avoid (stop the activity), reduce (controls), transfer or share (insurance, contracts), accept (retain).	Calling an exit a reduction or transfer.	What the firm does with the activity itself.
4	Quantifying risk: SLE, ARO, ALE	$SLE = \text{asset value} \times \text{exposure factor}$; $ALE = SLE \times \text{annual rate of occurrence}$.	Stopping at SLE, or multiplying by years between events.	Asset value, percent damaged and how often.
5	Three lines model	First line: operating management owns and manages risk; second: risk and compliance oversight; third: internal audit's independent assurance.	Naming the risk function or internal audit as the risk owner.	Who handles the risk day to day.
6	COSO ERM framework	COSO ERM (2017) integrates risk with strategy-setting and performance, beyond internal control over reporting.	Choosing the COSO internal control framework or an IT security standard.	Linking risk to strategy and performance.
7	RTO vs. RPO	RTO = how fast a system must be restored; RPO = how much data, measured in time, can be lost.	Swapping the two.	Backup schedule vs. allowed downtime.
8	Coinurance in property insurance	$\text{Payout} = (\text{insurance carried} \div \text{insurance required}) \times \text{loss} - \text{deductible}$, where $\text{required} = \text{coinsurance \%} \times \text{property value}$.	Paying the full loss or using full value as the requirement.	An underinsured building with a coinsurance clause.

Course scope (public description): Enterprise Risk Management provides learners with an introduction to the discipline of risk management from the perspective of an organization rather than from the viewpoint of a person. In this course, learners will learn risk management concepts, including risk tolerance, risk appetite, and how to utilize governance and compliance resources to achieve an effective risk management strategy. Throughout this course, learners will determine various strategies to identify, assess, monitor, and control risks and other threats to an organization. Topics include approaches to risk mitigation, generally accepted frameworks and standards adopted to manage risk, current environmental, societal, and governance matters of risk interest to an organization, disaster recovery plans, and insurance products.